

# Robinhood Markets, Inc.

HOOD NASDAQ

|     |                 |                              |                                     |                        |
|-----|-----------------|------------------------------|-------------------------------------|------------------------|
| Buy | \$95.77 ▲ 4.63% | 12M Price Target<br>\$115.00 | 52-Week Range<br>\$63.52 – \$153.86 | Market Cap<br>\$86.11B |
|-----|-----------------|------------------------------|-------------------------------------|------------------------|

## HOOD: Crypto Rally + Clarity Act Push = Direct Tailwind

### WHAT HAPPENED

- HOOD popped 4.6% on massive volume (25M shares vs ~14M average) — the driver is clearly Trump's White House crypto meeting yesterday pushing the Clarity Act, with Bitcoin blasting past \$71K. HOOD is one of the cleanest ways to play retail crypto trading in a regulated US stock, so when crypto rips + regulation gets friendlier, HOOD gets a double lift.
- Options flow is screaming bullish — 152K calls vs 41K puts (put/call ratio of 0.27 is very bullish, means traders are betting way more on upside than downside), with a big \$98 call buyer loading up 9,900 contracts. Someone with money is positioning for more upside near-term.

### WHY IT MATTERS

The Clarity Act (which would give the CFTC clear jurisdiction over most crypto and stop the SEC's enforcement-by-lawsuit approach) is the single biggest regulatory catalyst HOOD has had in years. If it passes, HOOD can legally expand its crypto product lineup — more tokens, staking, potentially derivatives — without the constant threat of being sued for offering "unregistered securities." That's not just a sentiment win, it's a real revenue unlock because crypto is already HOOD's highest-margin business. The market is starting to price this in, but if the bill actually clears the Senate this fall, there's another leg up from here — this rally may be early innings, not late.

### POLICY & POLITICAL WATCH

The Clarity Act (formally the Financial Innovation and Technology for the 21st Century Act) is the one to watch — it passed the House with bipartisan support and Trump is actively lobbying for Senate passage. If it clears, HOOD gets to expand crypto offerings dramatically; if it stalls, we go back to the SEC playing whack-a-mole. Also keep an eye on the PFOF (payment for order flow — how HOOD makes money routing your trades to market makers) debate — the current SEC under Trump has backed off the Gensler-era threats to ban it, which is a huge quiet tailwind that people forget about.

### IS IT EXPENSIVE?

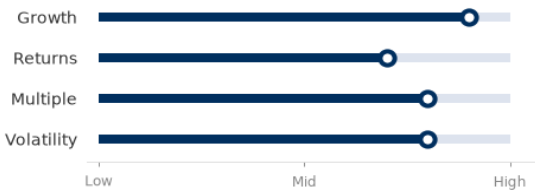
At \$86B market cap and roughly 20x forward revenue, HOOD is not cheap — you're paying \$20 for every \$1 of sales, versus a legacy broker like Schwab at more like \$5. But HOOD is growing revenue 40%+ and crypto is a call option on regulation. The multiple is justified IF the Clarity Act passes and crypto volumes stay elevated; if either breaks, this stock is expensive fast.

### WHAT COULD GO WRONG

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$95.77  |
| 12M Price Target    | \$115.00 |
| Upside / (Downside) | +20.1%   |
| Market Cap          | \$86.11B |
| FY2026E Revenue     | \$4,200M |
| FY2027E Revenue     | \$5,300M |
| FY2026E EPS         | \$1.85   |
| FY2027E EPS         | \$2.45   |
| Fwd P/E             | 51.8x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$108.00  | \$100.00  | \$88.00   |
| 6 Months  | \$130.00  | \$110.00  | \$80.00   |
| 1 Year    | \$155.00  | \$115.00  | \$70.00   |
| 2 Years   | \$200.00  | \$145.00  | \$60.00   |
| 5 Years   | \$300.00  | \$200.00  | \$50.00   |
| 10 Years  | \$500.00  | \$300.00  | \$40.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Crypto-adjacent financials (COIN, HOOD, MSTR, Circle) on the Clarity Act push — this is direct policy tailwind. Healthcare also ripping today (+3.5%) on separate catalysts.

**COOLING OFF:** Tech mega-caps look tired here — money is rotating out of "safe" AI names into higher-beta stuff like crypto plays now that regulatory risk is fading.

**ROTATION WATCH:** Money is clearly moving into risk-on, regulation-sensitive names as Washington signals crypto-friendly policy. That's a straight-line benefit for HOOD's business model.

**RELATED PLAY:** If HOOD keeps running on crypto tailwinds, the "picks and shovels" plays — CME (crypto futures), Coinbase (custody), and even the stablecoin issuers like Circle — all benefit from the same regulatory clarity.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of Clarity Act — they've been waiting years for regulatory clarity to launch new products.
- MSTR (Strategy, formerly MicroStrategy): Basically a leveraged Bitcoin bet, ripping alongside BTC price.
- CRCL (Circle): Stablecoin issuer riding the same regulatory-clarity wave.

**HOOD CONTEXT:** HOOD is participating in the rally but not leading it — COIN and MSTR are more direct crypto plays. That's actually good news: it means HOOD has room to catch up if crypto momentum sustains, because it's a more diversified business that shouldn't be as volatile down if crypto rolls over.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — The setup is unusually clean: bullish policy catalyst, strong options flow, high institutional ownership (80%), and a business that's actually profitable now. I'm not pounding the table because the stock is up huge YTD and near the middle of its 52-week range with room to fall on macro shocks.

**POSITION SIZE:** 3-5% of portfolio — real upside but the volatility is legit; this thing can move 5% on any given day.

**ENTRY POINTS:** Add on pullbacks to \$88-92, which is where the recent trading range support sits. Don't chase above \$100 today.

**TIME HORIZON:** 12-24 months — main catalyst is Clarity Act Senate vote (fall 2026) and Q3/Q4 crypto trading volumes.

**WHEN TO BAIL:** If Bitcoin breaks below \$55K decisively, or if the Clarity Act gets killed in Senate committee, or if management guides down crypto revenue on the next earnings call.

**HEDGING:** Simplest hedge — keep some cash on the sidelines so you can buy more on a 15% pullback. Fancier version: own a little bit of a short-Bitcoin ETF or buy protective puts on HOOD 20% out-of-the-money if you want insurance against a crypto crash.